



2021 Earnings

15 March 2022

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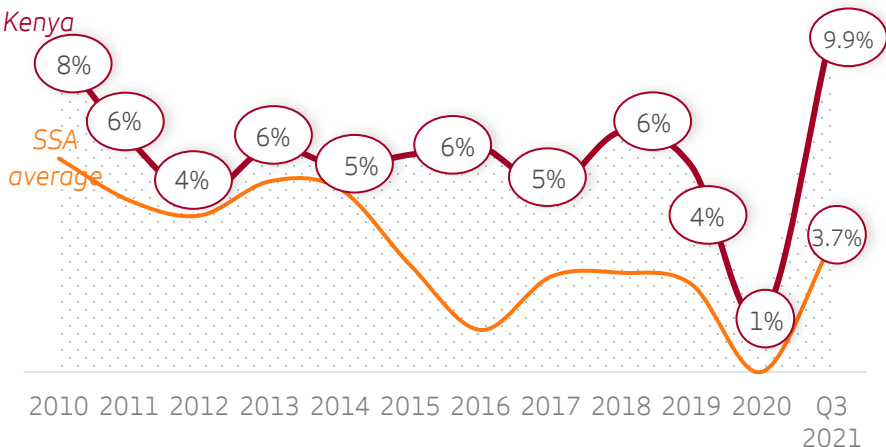
1

Business Overview

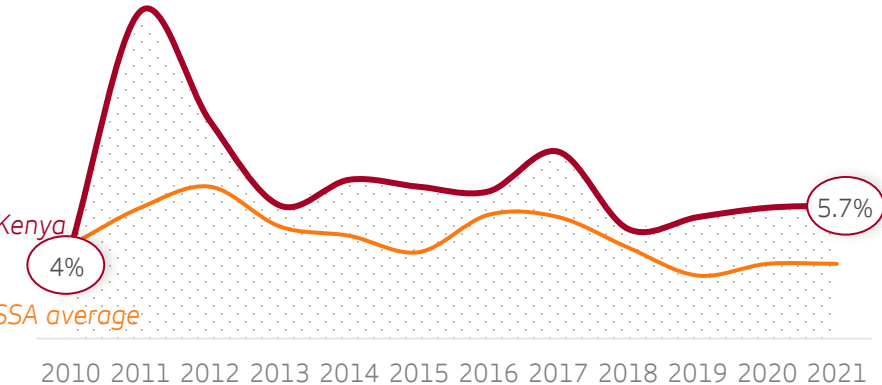
Jeremy Awori –
Chief Executive Officer

Operating Environment: We are navigating an uncertain operating environment with addressable risks and opportunities

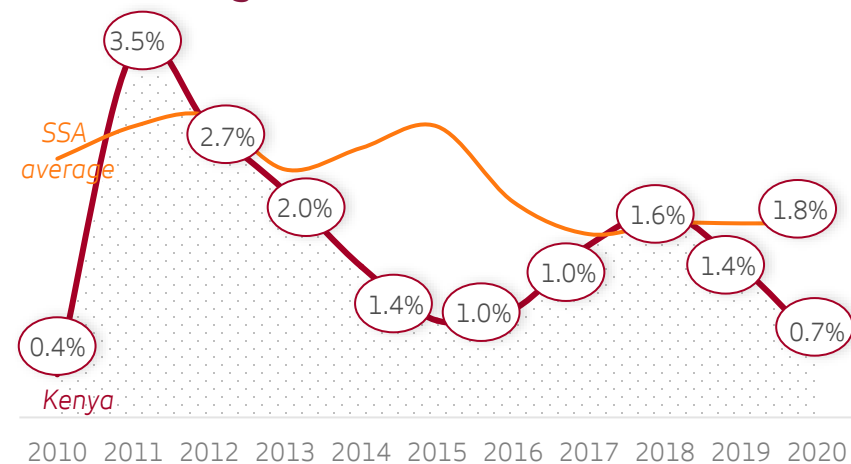
Kenya's GDP growing above SSA average



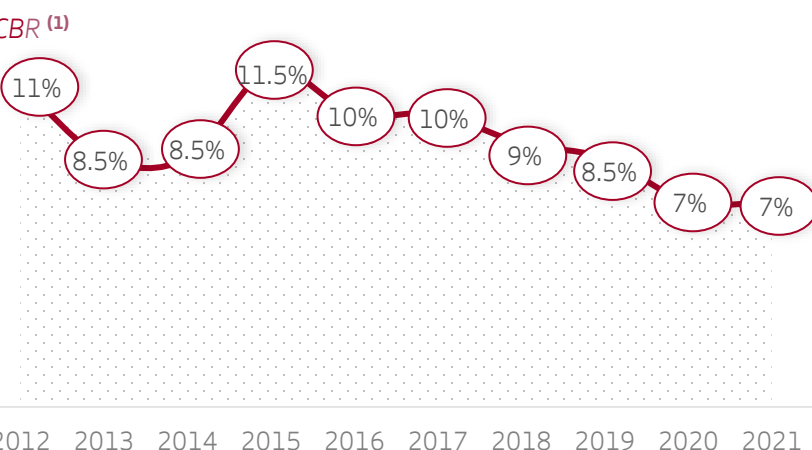
Inflation remained well anchored within the Government medium-term target. However, we are mindful of risks ahead



Subdued Foreign Direct Investments: Net inflows (% of GDP)



Interest rates remained stable in 2021



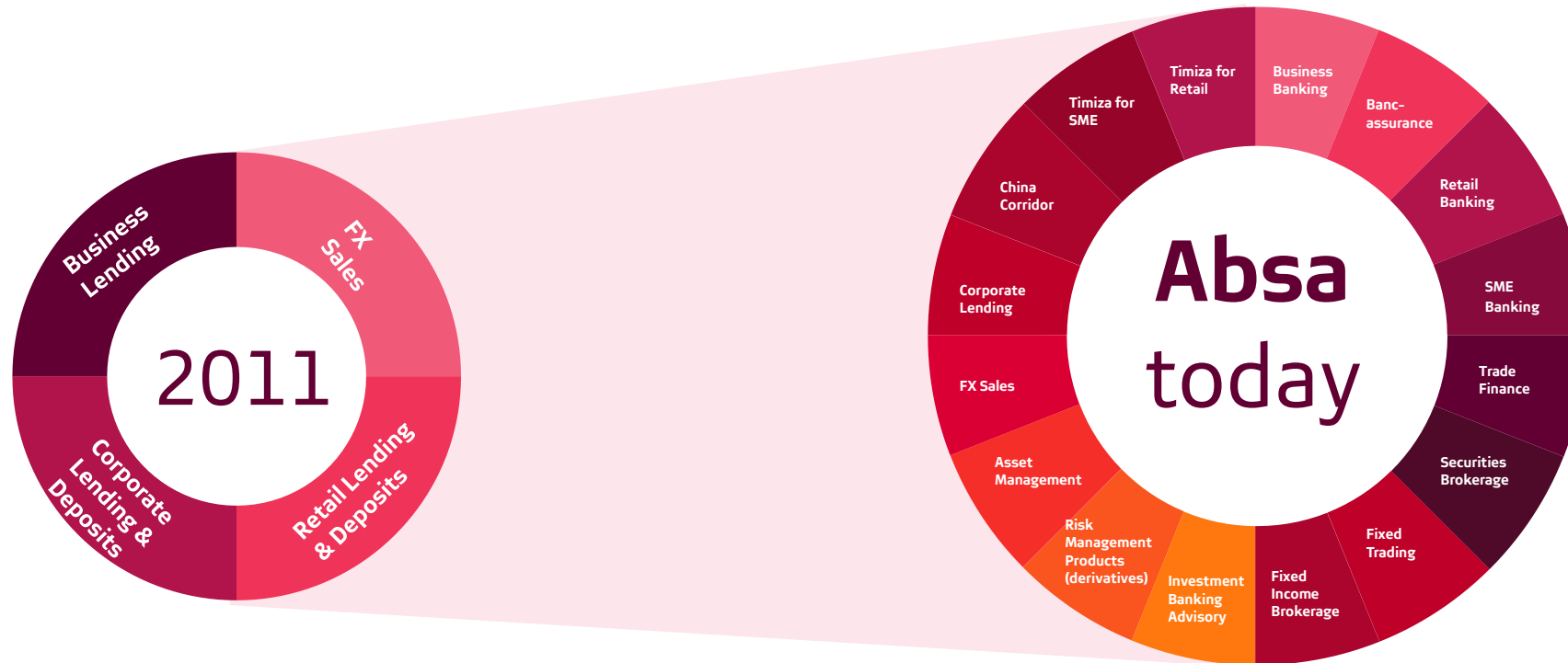
Head winds

1. Elections
2. Geopolitical Risks
3. Muted Foreign Direct Investment
4. Low Vaccination Levels
5. Inflation Pressure

Tail winds

1. Growth in private sector credit
2. Improving macro-economic performance post COVID-19
3. Interest Rates Stability

Business Transformation: Over time, our business has evolved towards a full financial services group driven by a broader proposition set



Business Transformation: With 2021 results, our business has achieved significant transformation over the last 10 years

(In KES bn unless stated otherwise)

	2011	2021	10-year change
Financial Outcomes	Revenue	26bn	37bn
			10bn+
	Cost to Income Ratio	53%	45%
			8% improvement
	Total Assets	166bn	429bn
			2.6x
	Capital (Shareholder Equity)	32bn	56bn
			1.8x
	Profit Before Tax	12bn	15.6bn
			1.3x
Key Operating KPI's	Branch Footprint	104	84
	Transactions out of Branch	34%	90%
	No of Employees	3,176	1,979

Adapting to customer trends and powered by Digital Transformation

Supporting our customers: In 2020 and 2021, our business remained responsive in supporting our customers recover from COVID-19

2020

KES62bn

*of loans
restructured*

Representing 30% of the loan
book. 95% of restructures
regularized as of 2021

2021

KES128bn

*gross lending in
2021*

Lending to customers

2021

KES429bn

of total assets

Support to businesses and
the Sovereign

Product Innovation: We continue to innovate to bring easier, faster and better services to our customers

1 Women in Business proposition

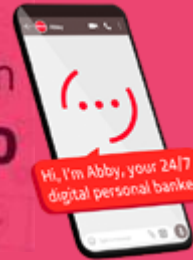
Grow your business with an Absa She Business Account



2 First in the market WhatsApp Banking



Introducing ChatBanking on WhatsApp



3 Launched scalable Digital Finance platform



4 700+ Agency Banking outlets



Transact with your Absa account at over 600 Postbank agents countrywide



5 Novo FX for foreign currency payments in 13 countries



6 Market-leading transaction in Investment Banking (KES 11 billion MTN¹)



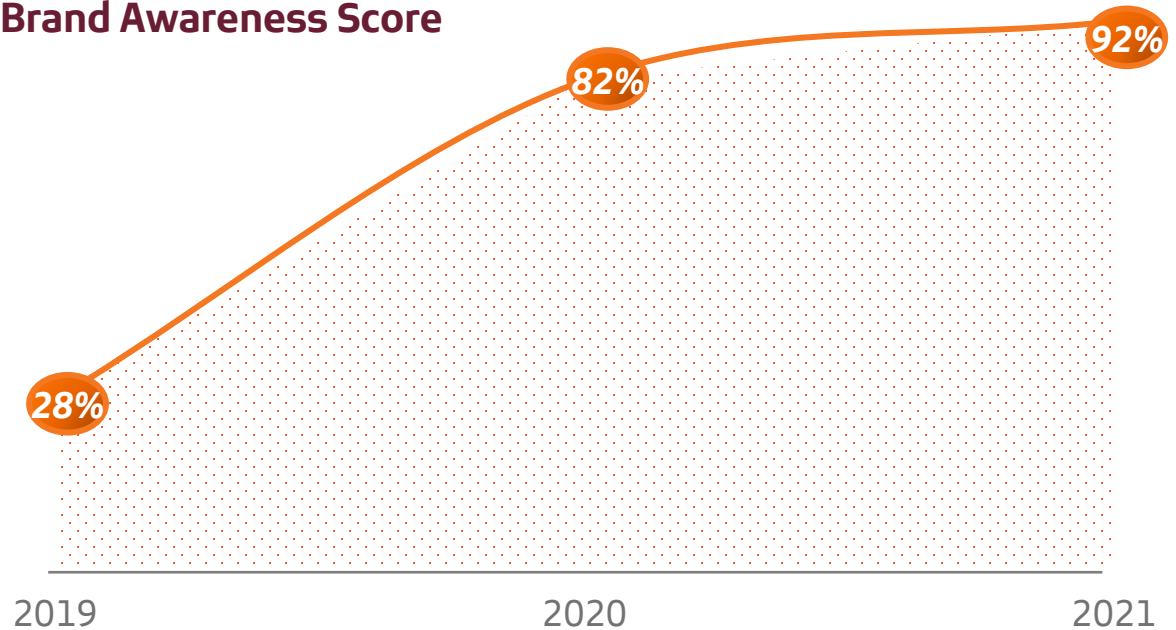
Notes

1. MTN – Medium Term Note

Building the Absa Brand: We continue to build our new brand for local relevance



Brand Awareness Score



Other scores



#2

Second most
reputable Bank in
Kenya



72%

Colleague
Brand Love
score



75%

Customer
Experience
Index score

Building a great place to work: We are building Absa as a fun, vibrant and inspirational place to work



Won 2022 Employer of Choice Award



Enabled by:

Culture transformation journey

Organization and employee value proposition design

New ways of working to adapt to post COVID-19

Resulting into improving employee Net Promoter Score (eNPS) ahead of our 2023 target

Creating shareholder value: We continue to deliver returns for our shareholders



	2017	2018	2019	2020 ⁽¹⁾	2021
1 Dividend	KES 5.4bn	KES 6bn	KES 6bn	-	KES 6bn
2 Dividend Yield	9%	11%	10%	-	9%
3 Dividend Yield Rank #2 (Financial Sector)		#2	#1	-	#1
4 Total Returns	20%	26%	33%	(28%)	32%

1. Took decisive actions towards capital and liquidity preservation

Sustainability: We continue to embed sustainability at the core of our strategy

Delivering our Role in Society through four pillars



Our High Impact SDG's



1

Environment

- 1st Bank to be recognized by Kenya Green building society for championing initiatives that promote green economy
- 80+ energy efficient Absa properties

2

Education and Skills Development

- ~200,000 youths trained through Ready to Work (R2W) programme. Target to train 1M youths by 2025

3

Promoting a Just Society

- Increasing diversity of our women suppliers through Sourcing2Equal IFC program

4

Inclusive Financing

- Euro 200,000 to support Women-Led Businesses
- 5,850 women entrepreneurs benefitted through Women in Business proposition and we target to impact 1 million women in business

Awards and Recognitions in 2021: Our efforts have been recognized by external stakeholders

-  **Brand Awareness:** Top rated as the brand that has become most accessible over 2020 – 2021 By One-Pulse
-  **East Africa CIO Awards** – “Best Tech Overhaul” category
-  **Energy Management Awards** – Winner Banking and Finance Sector Award
-  **Brand Reputation** – Second most reputable Bank in Kenya
-  **Think Business Awards** – Agriculture, SME, Islamic, Corporate and Product Marketing
-  **3 Digital Media Awards** – New Technology, Digital Brand of the year and Digital Platform
-  **#2 Brand in Kenya for Brands Transforming Lives** by Business Monthly
-  **Top CEO 3 Years in a Row** – Business leader that is transforming lives as rated by business monthly
-  **Integrated Report** – second year running by Financial Reporting Awards
-  **Employer of Choice** in Financial Institutions
-  **Public Relations Society of Kenya** – Award for Partnership Engagement Initiative of the Year
-  **Public Relations Society of Kenya** – Award for Social Investment Campaign of the Year award



2

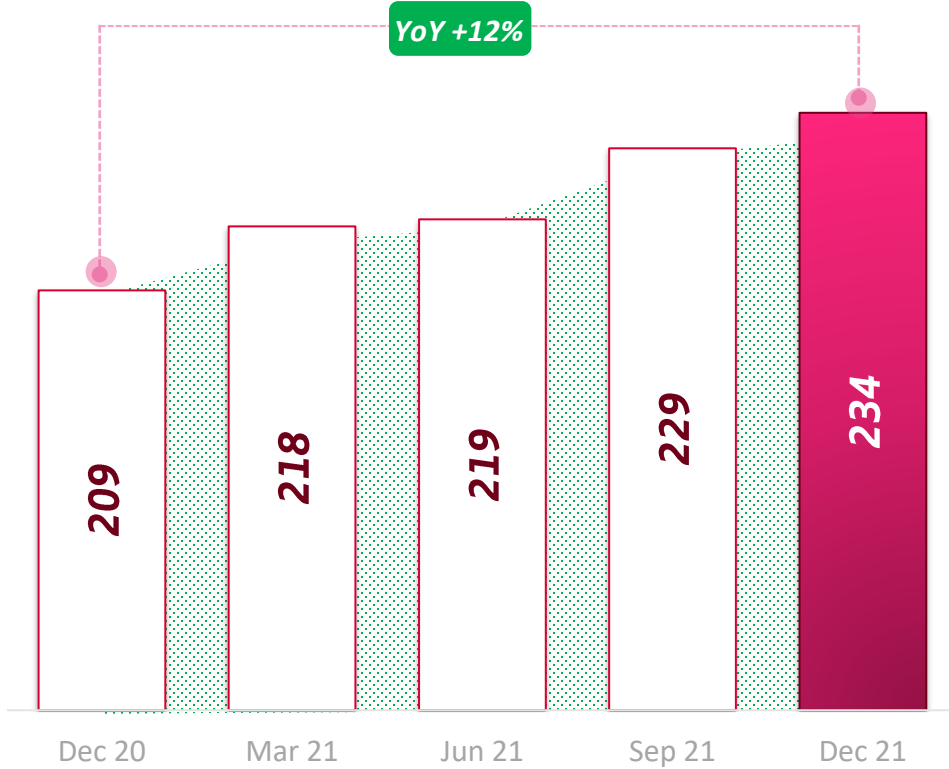
Financial Performance

Yusuf Omari –
Chief Finance Officer

2021 Financial Results: Growth in balance sheet across all business segments

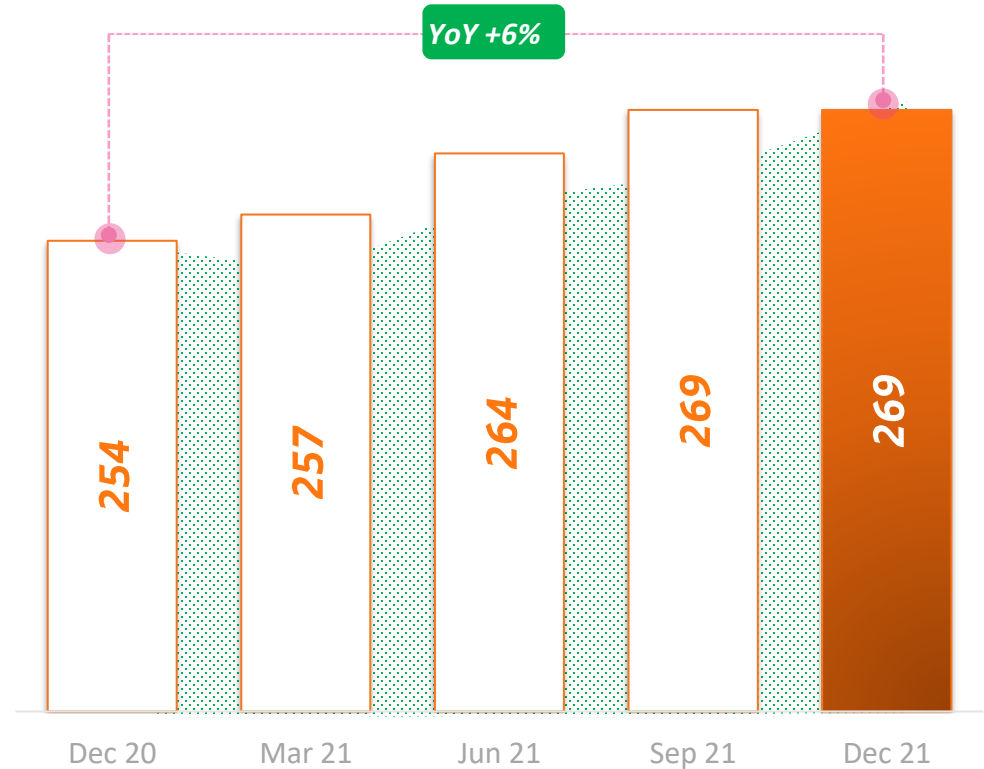
(In KES bn unless stated otherwise)

Customer Loans and Advances



- LDR of **87%**
- Growth driven by Trade Loans, Overdraft, Mortgage and Scheme Loans

Customer Deposits

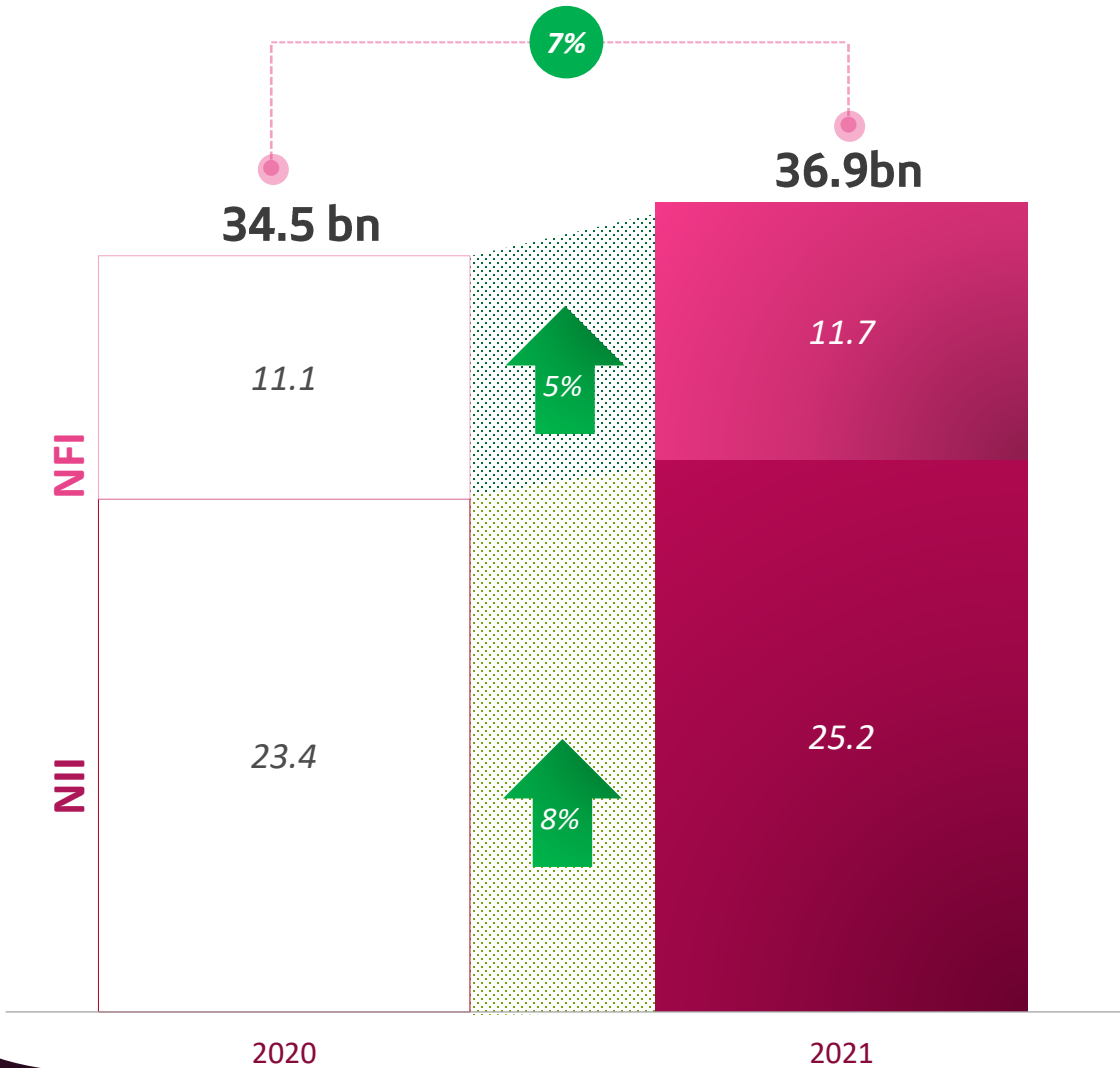


- Focus is on attracting **cheaper deposits** to lower the cost of funding

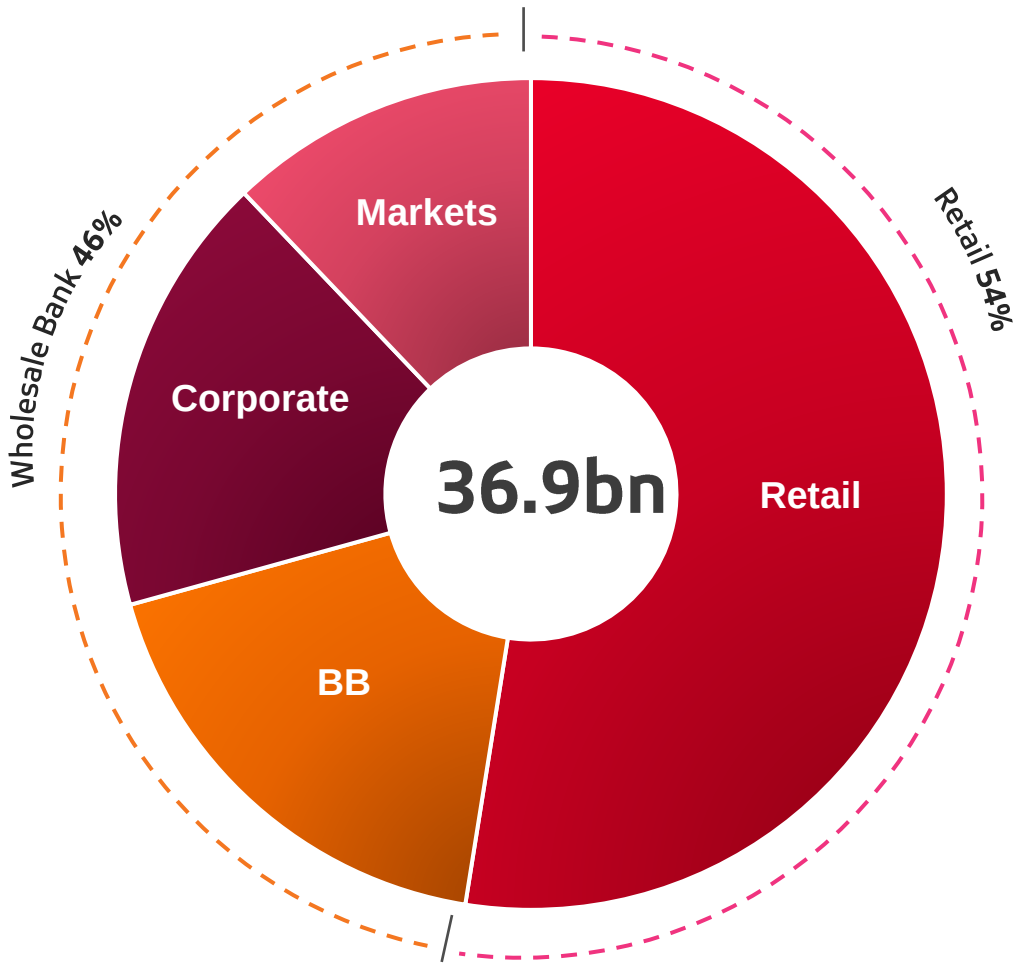
2021 Financial Results: Revenue up 7% with growth in both NII and NFI despite compressed margins

(In KES bn unless stated otherwise)

Absa NII and NFI

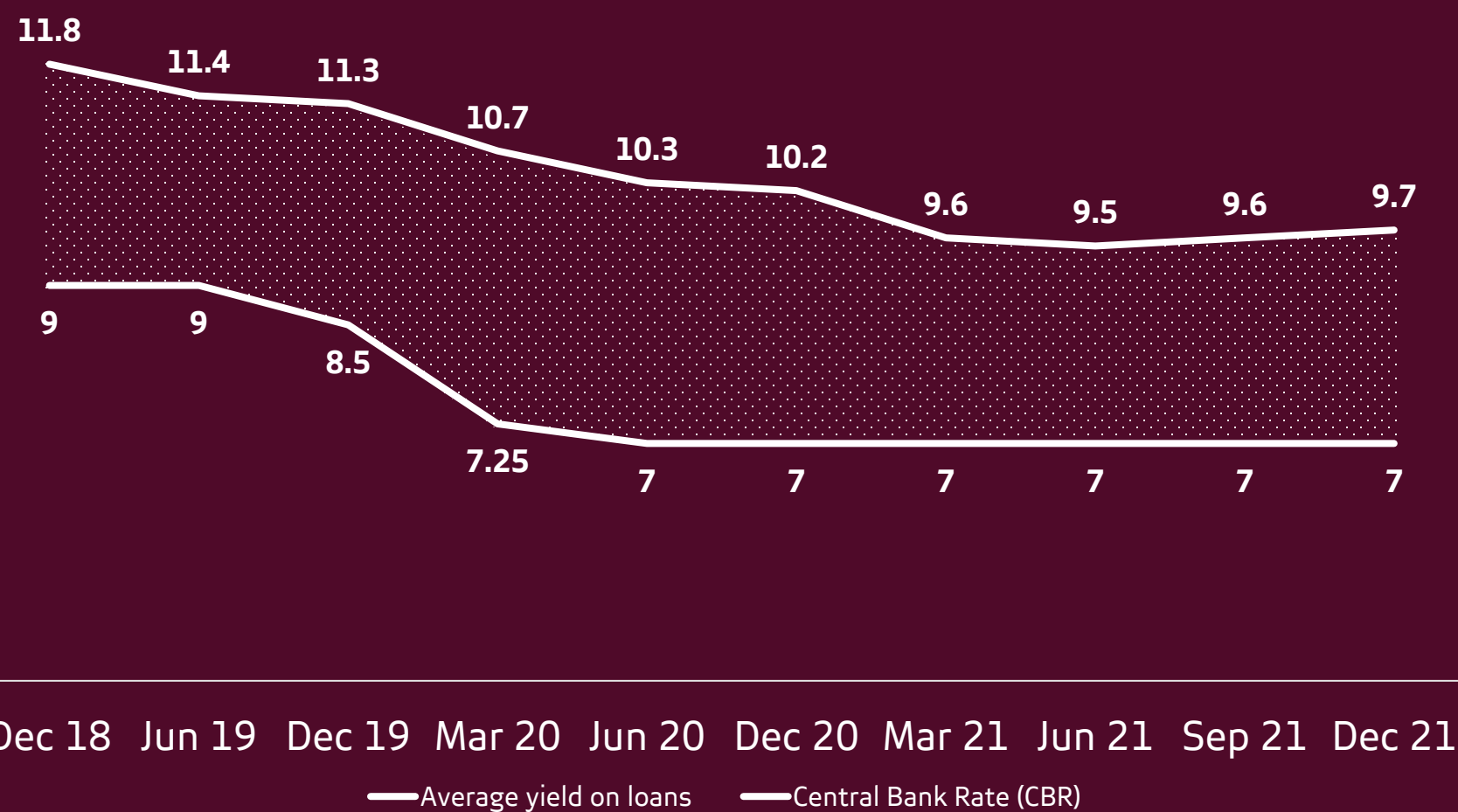


2021 Income functional diversification



2021 Financial Results: Central Bank Rate remained stable in 2021

Yield vs Central Bank Rate movement (%)

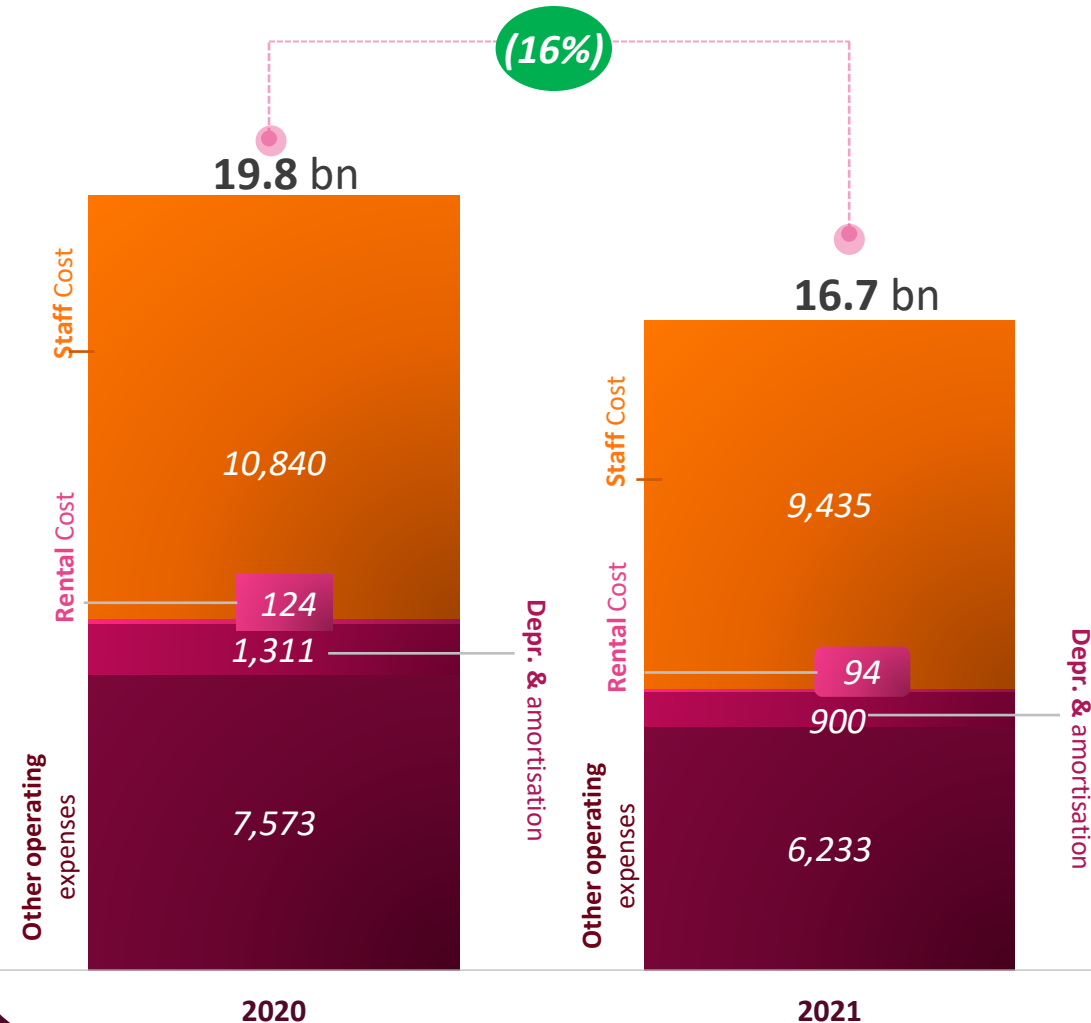


As a responsible financial partner, we have been repricing the book and passing on the benefits to our customers.

2021 Financial Results: Prudent cost management and transformational investments leading to cost drop of 16%

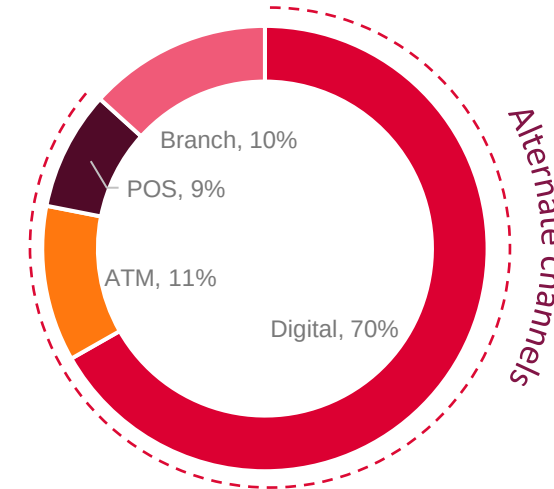
(In KES mn unless stated otherwise)

Absa Cost : 2020 – 2021⁽¹⁾



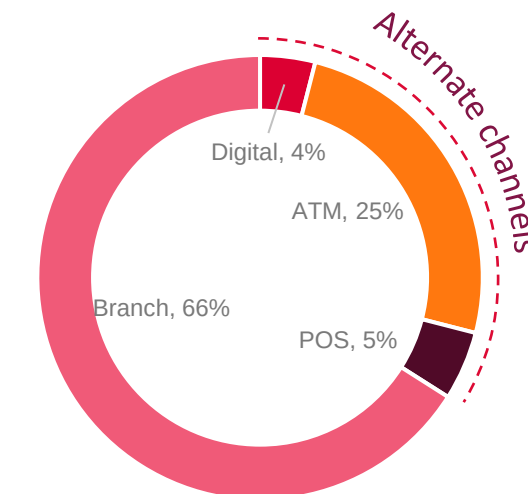
Volume of customer transactions per channel: 2021

2021



90%
of all transactions
outside Branch

2013



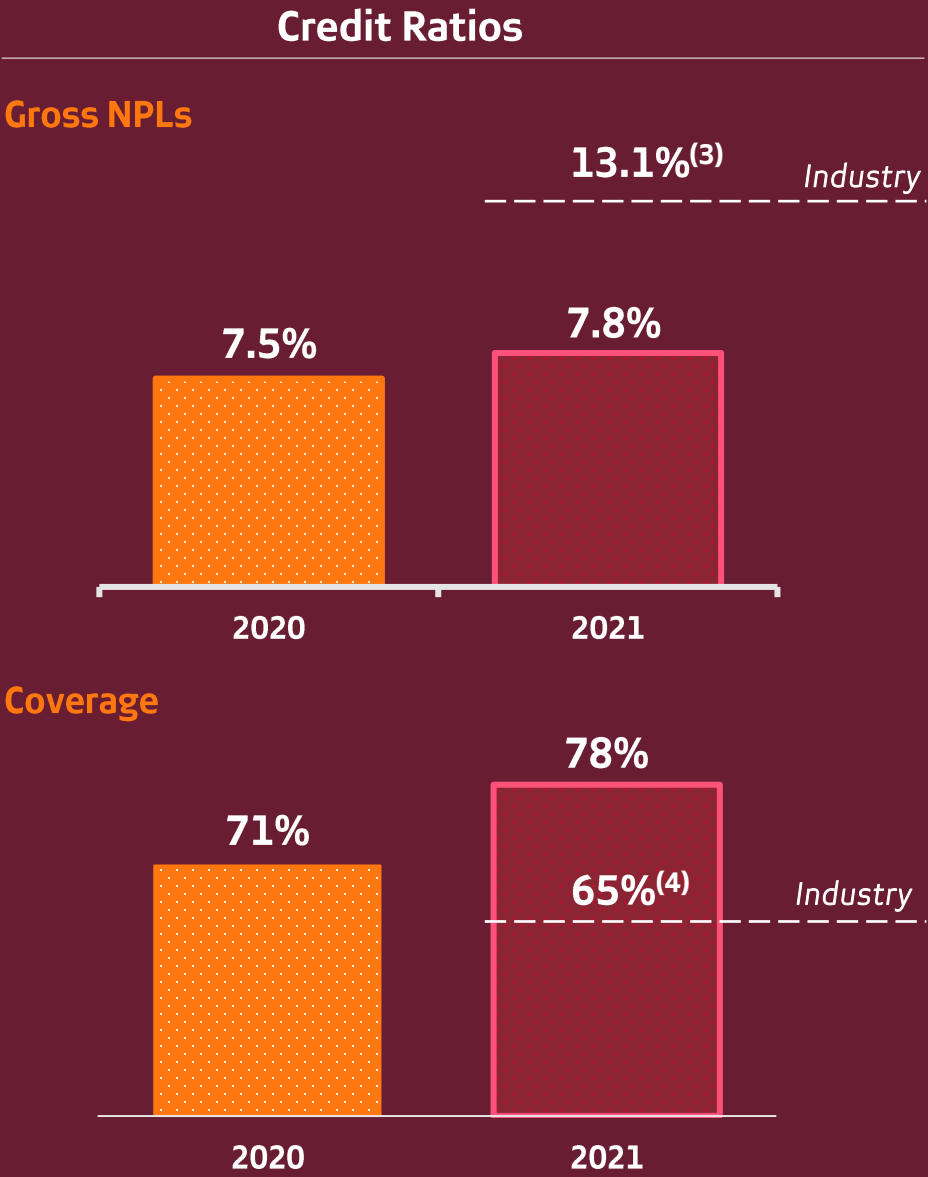
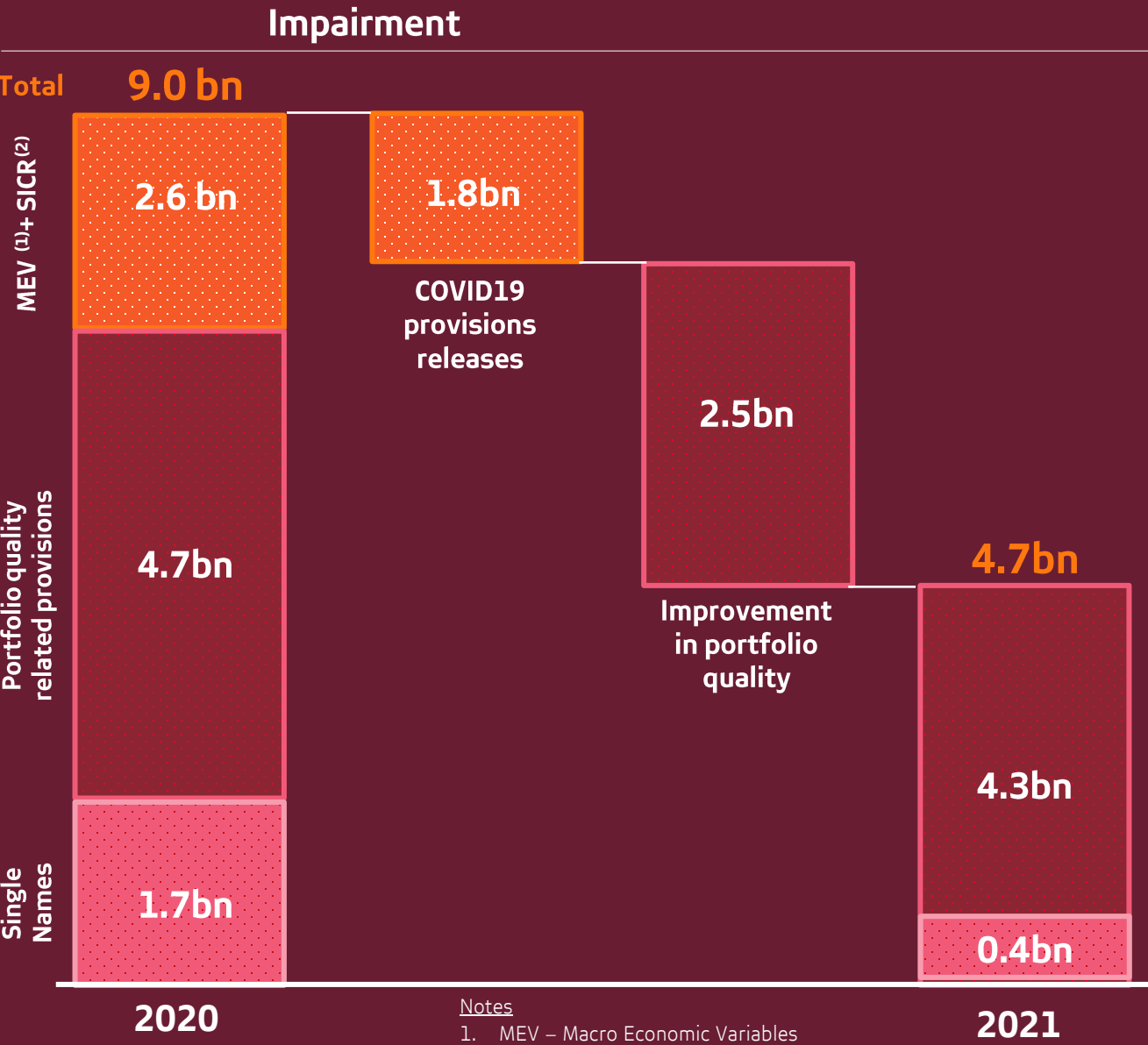
34%
of all transactions
outside branch

Notes:

1. Includes Kshs 3.2 billion separational costs incurred in 2020 reported as exceptional item in the financials

2021 Financial Results:Improvement in quality of credit portfolio

(In KES bn unless stated otherwise)



2021 Financial Results: All our key financial measures showing marked improvement

(In KES bn unless stated otherwise)

	Indicators	2021	2020		Comment	
P&L	Income	36.9	34.5		7%	↑
	Net Interest Income	25.2	23.4		8%	↑
	Non Funded Income	11.7	11.1		5%	↑
	Operating Costs	(16.7)	(19.8)		(16%)	↑
	Impairment	(4.7)	(9.0)		(48%)	↓
	Profit Before Tax	15.6	5.6		175%	↑
	Profit After Tax	10.9	4.2		161%	↑
Balance sheet	Customer Assets	234.2	208.8		12%	↑
	Customer Liabilities	268.7	253.6		6%	↑
	Total Assets	428.7	379.4		13%	↑

2021 Financial Results (Key Ratios): Cost Income Ratio showing marked improvement with Loan Loss Ratio improving indicating quality of our portfolio

Indicators	2021	2020		
Cost to Income Ratio	45%	48%	Marked improvement (300 bps)	↓
Loan Loss Rate	2.0%	4.3%	Marked improvement in underlying portfolio quality	↓
Yield on Loans	9.7%	10.2%	CBR ⁽¹⁾ drop impact	↓
Cost of Funds	2.3%	2.4%	Better than prior period as we diversified our deposits	↓
ROE ⁽²⁾	19.3%	9%	Recovery in ROE ⁽²⁾ drove better earnings and Optimization of capital	↑

Notes

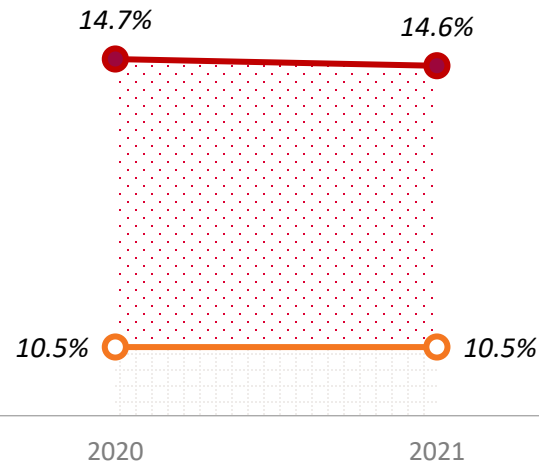
1. CBR – Central Bank Rate

2. ROE – Return on Equity

Financial Results (Key Ratios): Strong capital and liquidity ratios to support future growth and returns recovery

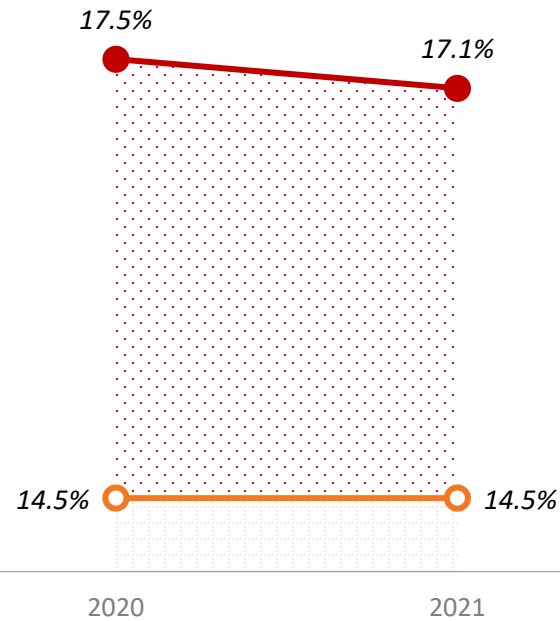
Core Capital Ratio

● Core Capital Ratio ○ Regulatory Minimum



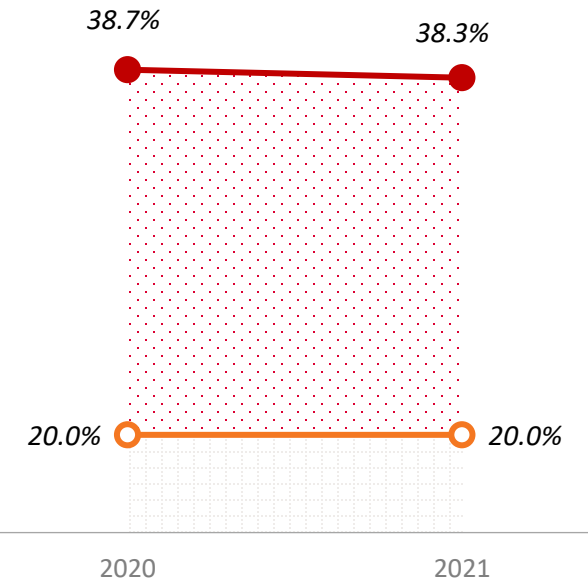
Total Capital Ratio

● Total Capital Ratio ○ Regulatory Minimum



Liquidity Ratio

● Liquidity Ratio ○ Regulatory Minimum





3

Outlook

Moses Muthui -
Chief Strategy Officer, Absa
Finance Director, Absa Corporate and Investment Bank

Clear Strategic Direction: Sharpening our focus on Growth pillar of our Growth, Transformation and Returns (GTR) Strategy

Achieved Transformation and Returns goals of our 2018-2023 Strategy ahead of time

Strategy Pillars	2023 Goals	As at 2021	
Growth	8-10% Market Share	7.8% Market Share	-
Transformation	<50% CIR ⁽¹⁾	45% CIR ⁽¹⁾	✓
Returns	ROE ⁽²⁾ = COE ⁽³⁾ + 5%	ROE ⁽²⁾ > COE ⁽³⁾ + 5%	✓

These results have been delivered while navigating three unique cycles: Interest rate caps, unique re-branding program and COVID-19.

Notes

1. CIR - Cost to Income Ratio
2. ROE - Return on Equity
3. COE - Cost of Equity
4. RBB – Retail and Business Banking, CIB – Corporate and Investment Banking

We are sharpening our GTR focus on Growth in 2022/23 while sustaining new-found levels of Transformation and Returns



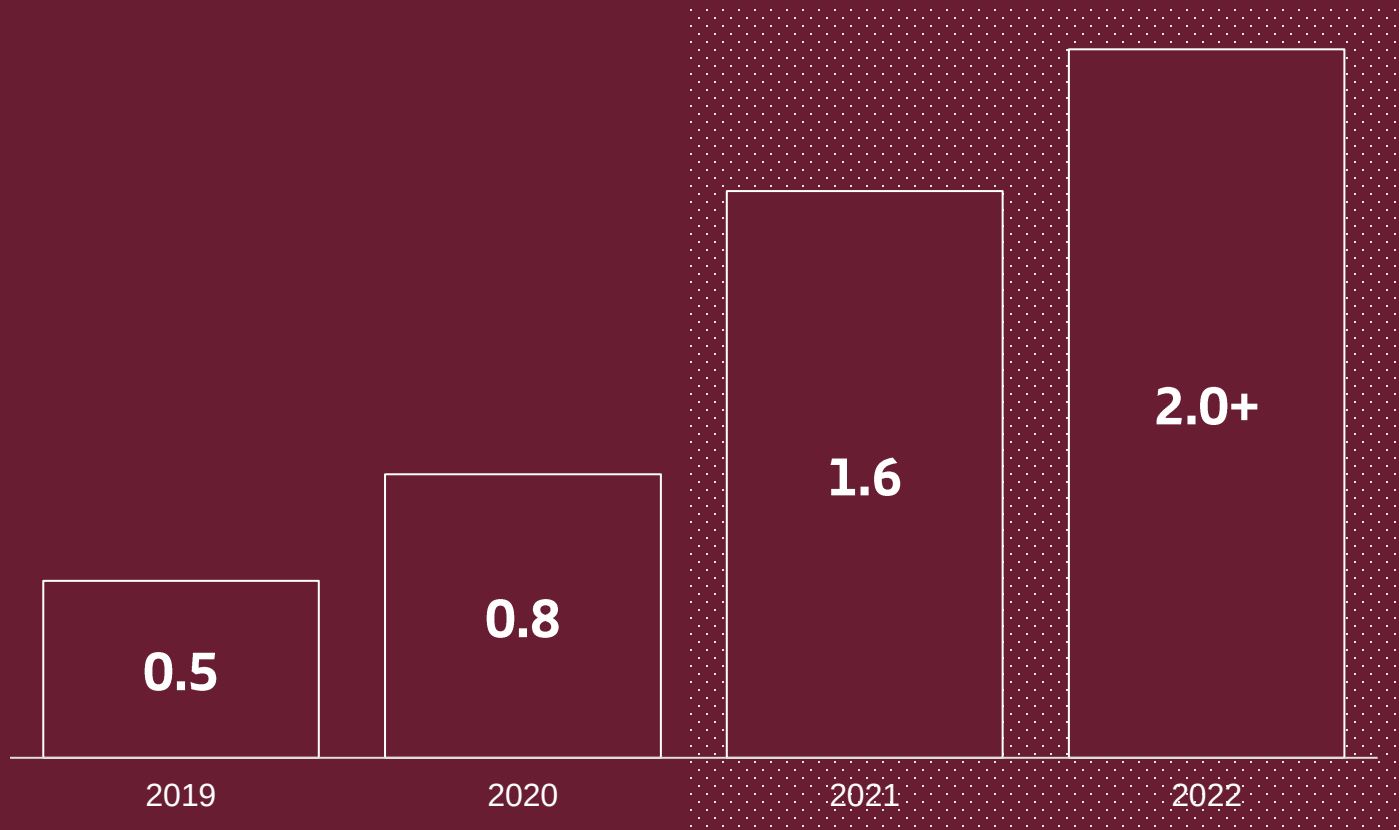
3 Growth Priorities

3 Growth Enablers

CAPEX Investments: Accelerated CAPEX to deliver a Digitally Powered Business

(In KES bn unless stated otherwise)

The **dominant change** of our business today is to transform our company digitally



Forward Catalyst: CAPEX
Predominantly focused on
Front-end digital transformation mainly
in our consumer finance business

Continued automation
of our back-end processing

Simplification
of our enterprise functions

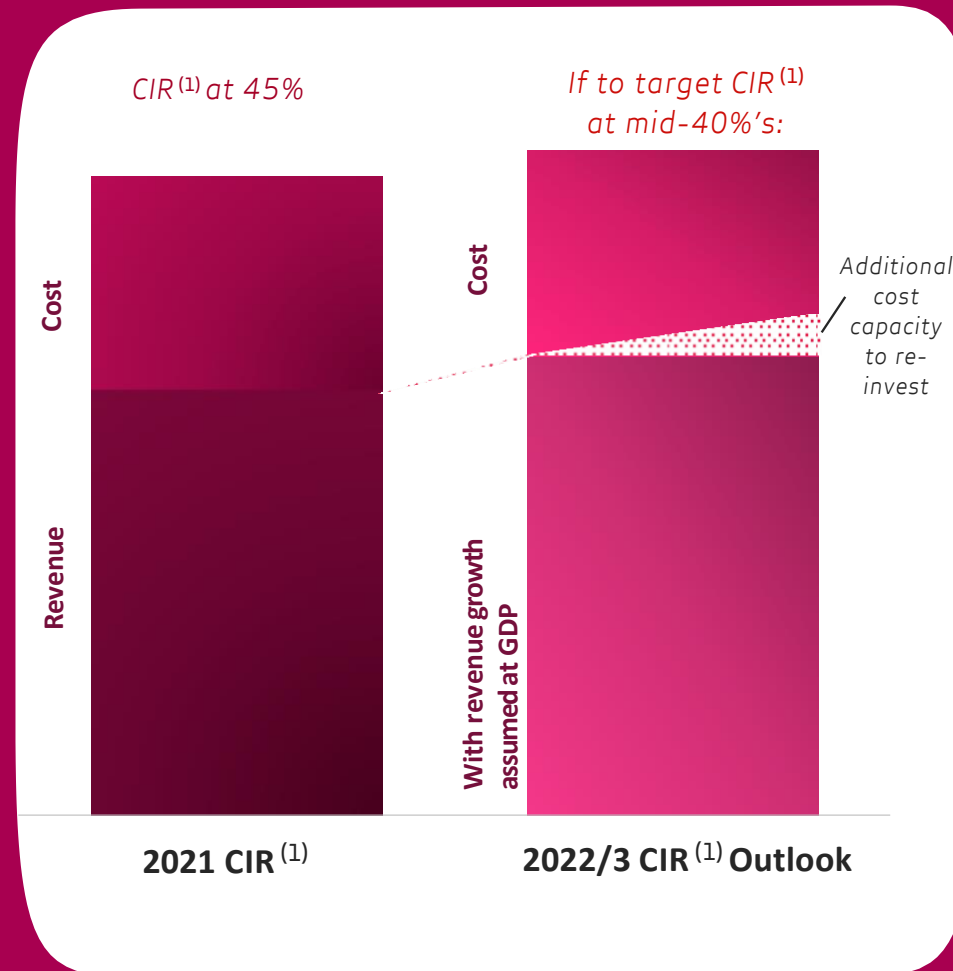
OPEX Re-Investments: Applying excess cost capacity to re-invest for topline growth

Previous Cost Philosophy

Holding underlying
OPEX flat

Increased one-off
expenses (Cost to Achieve)
change programs

Managing net cost
increases at (or) below
inflation



Forward Cost Philosophy

Increase costs to the extent
the P&L can afford (+ve
JAWS)

Continued take-out of
structural costs through
automation

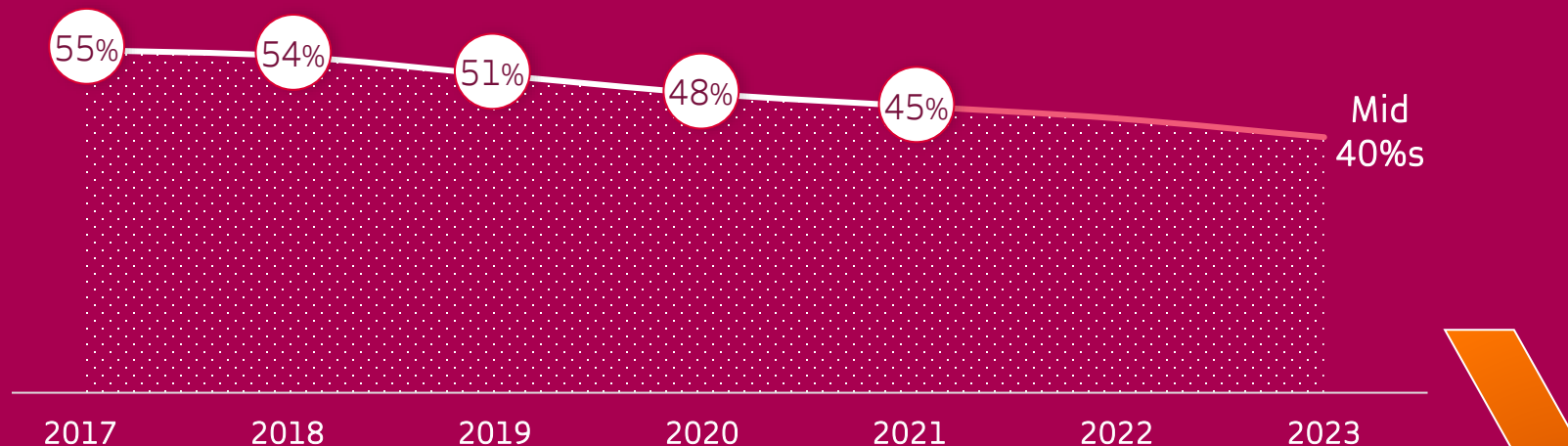
While reserving an option to
hold OPEX at inflation if
needed

Notes

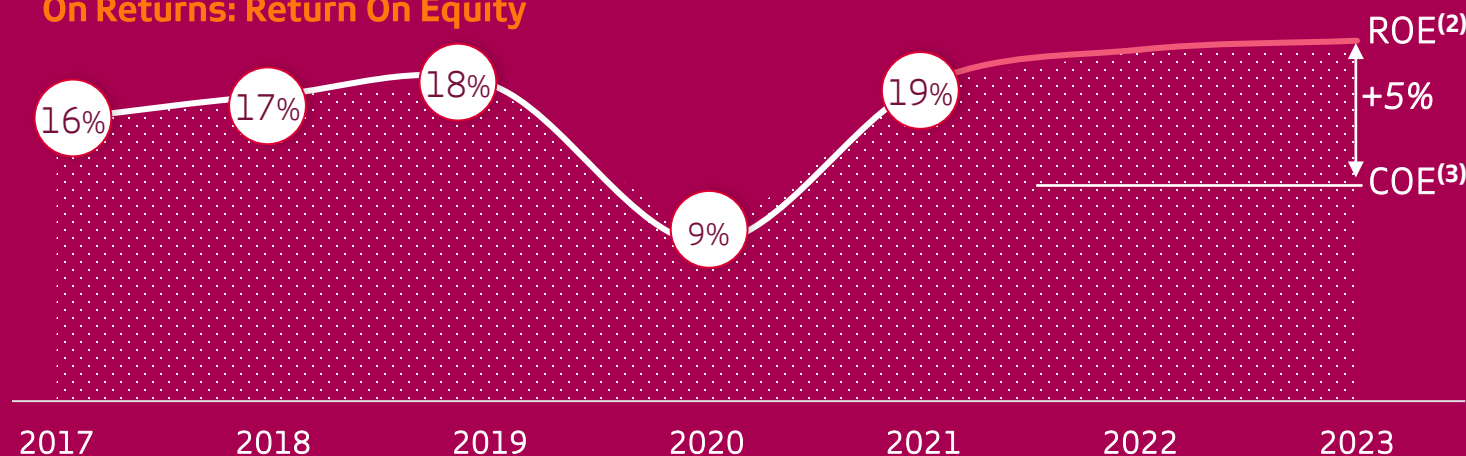
1. CIR - Cost to Income Ratio

Operating and Financial Leverage: Sustaining Efficiency and Returns levels through the medium-term

On Transformation: Cost to Income Ratio



On Returns: Return On Equity



Multiplier Effect: Looking Ahead

Sustaining mid 40% s CIR ⁽¹⁾ while growing revenue creates additional cost capacity for re-investment

Sustaining ROE ⁽²⁾ at COE ⁽³⁾ +5% on a consistent basis while growing earnings, a catalyst for capital supply to meet growth demand and distribution to shareholders

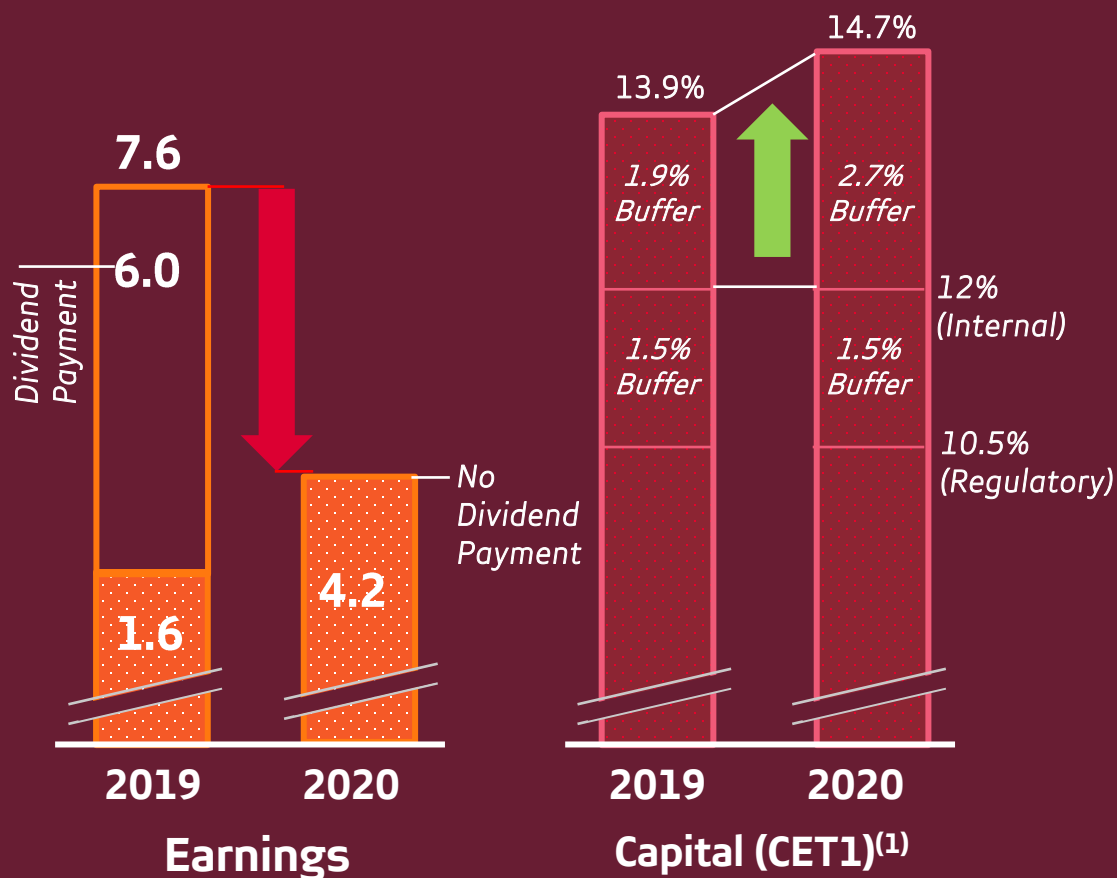
Notes

1. CIR - Cost to Income Ratio
2. ROE - Return on Equity
3. COE - Cost of Equity

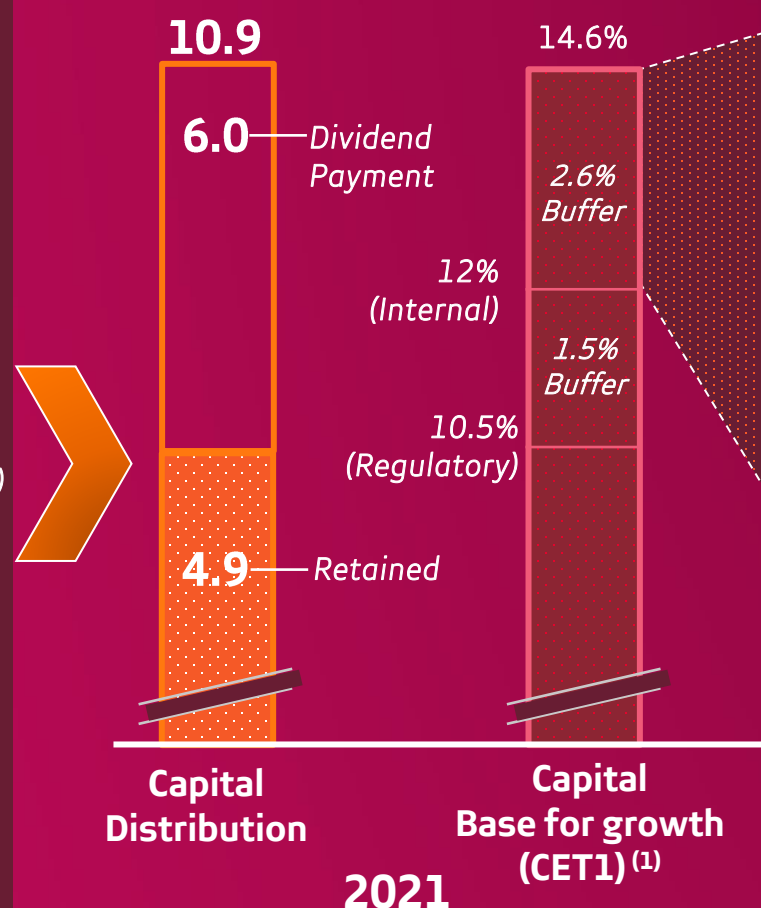
Dynamic Capital Management: Pivoting from capital preservation to capital precision

(In KES bn unless stated otherwise)

From Capital Preservation....



To Capital Precision



Multiplier Effect

Post dividend capital buffer at 2.6% (or KES 3.3bn) higher than pre-covid 2019

Equivalent to ~KES 60bn of RWAs or ~18% of total RWAs⁽²⁾, all else held constant

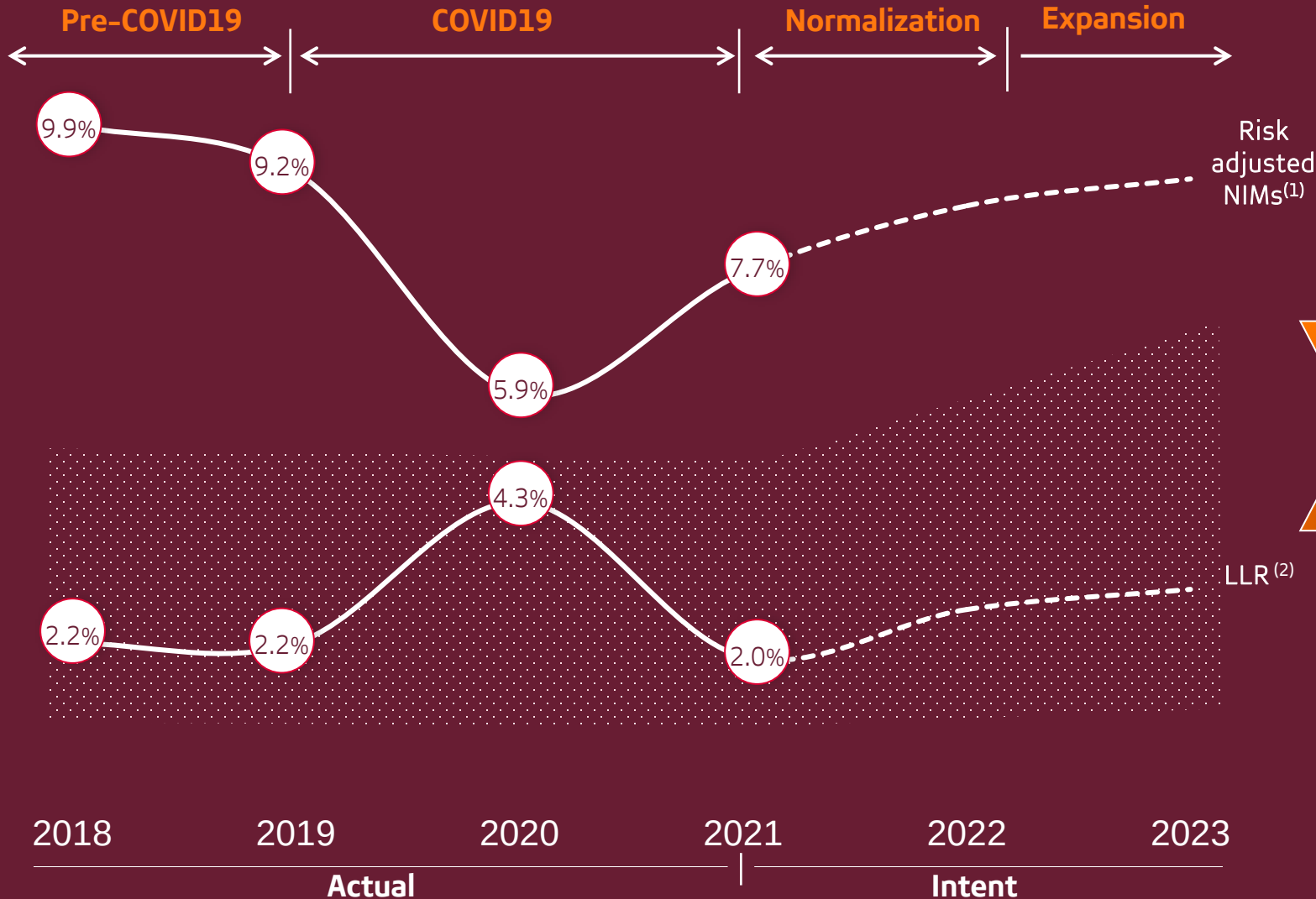
The focus will be on allocating the ~KES 60bn for returns

Notes

1. CET1 – Common Equity Tier 1 Capital
2. RWA – Risk Weighted Assets

The decisive actions we took in 2020 are paying off, allowing us to resume dividends as well grow risk weighted assets

Revisiting our Risk Playbook: We have intentions to expand our Loan Loss Ratio corridor to capture expanded risk adjusted margins



Multiplier effect

Targeting LLR⁽²⁾ corridor expansion in Wholesale and Retail Banking supported by risk-based pricing

Targeting expanded volumes and margins in Wholesale particularly in Business Banking

Net marginal uptick on LLR⁽²⁾ for potentially higher risk adjusted margins on a blended portfolio basis

Notes

1. NIMs – Net Interest Margins
2. LLR – Loan Loss Ratio



4

In Summary

Jeremy Awori –
Chief Executive Officer

2021 Outcomes

Long-term Transformation on course

Delivered 2 of 3 pillars of our 2023 Strategy ahead of time

Record financial performance in 2021

Resumption of dividends

Awards and recognition of brand, employee and customer measures

In Summary

2022 Priorities

Sharpening our focus on Growth pillar of our strategy while sustaining the new-found levels of Transformation and Returns

Three Growth pillars:

1. Build new pioneering propositions for the new strategic battlegrounds
 2. Strongly grow and diversify RBB
 3. Build CIB into a regional powerhouse
-

Three Growth enablers:

1. A digitally powered business
2. An expanded enabling risk appetite
3. A leading employee value proposition

(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank Kenya PLC . Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Absa Bank Kenya PLC makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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